

M5CANON MASTER RICARDIAN AND MACHINE POLICY STANDARD

*Canonical legal-text → machine-policy → code → evidence standard for PPT-EZ-CA-0001
and future public-commons reference transactions*

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Human-controlled clean draft • counsel / institutional review as applicable

1. Purpose

M5Canon defines how legal authority, machine-readable policy, executable code, probabilistic intelligence, human approvals and TitleChain evidence interact. Its purpose is to make automation subordinate to lawful authority while preserving an auditable, reproducible transaction state.

2. Authority Hierarchy

Priority	Authority / Record	M5Canon Rule
1	Statute, regulation, court order, authoritative government act	Controls within its legal scope.
2	Executed deed, lease, financing agreement, resolution, permit, filing or other legally effective instrument	Defines the rights, duties, restrictions and authorized actors.
3	Authoritative public record or agency status record	Evidence of recorded/public status; reconcile with executed instrument if inconsistent.
4	Ricardian legal text signed/accepted by authorized parties	Human-readable contract and policy statement tied to the governing instruments.
5	Machine-readable M5Canon policy manifest	Parses the authorized legal rules; cannot add powers not present above.
6	Executable code / deterministic rules	Enforces defined conditions; fails closed on conflict, uncertainty or missing authority.
7	Probabilistic intelligence (Jev/LLM/other models)	Advisory classification, scoring, extraction, explanation and routing only.
8	TitleChain state / receipt	Records provenance, authority, state and evidence; does not supersede higher-priority authority.

3. Ricardian Document Requirements

- Each controlled instrument must contain a unique document ID, version, effective date, jurisdiction, parties/roles, governing authority, legal text, machine-policy reference, code/version reference where applicable, evidence-source references, signatures/approvals and supersession state.

- The legal text and machine-policy representation must be cryptographically linked by a reproducible hash or equivalent integrity mechanism. A hash proves integrity of the referenced text; it does not by itself prove legal validity or authority.
- Material amendments require a new version, authority validation and evidence receipt. Earlier versions remain auditable and are marked superseded rather than silently overwritten.

4. Execution Classes

Class	Permitted Automation	Required Human / External Gate
A — Deterministic fact	Exact comparisons, deadlines, credential validity, document presence, arithmetic	None unless law/contract requires review.
B — Probabilistic judgment	Classification, anomaly detection, scoring, routing, extraction	Threshold and escalation rules; no direct legal effect.
C — Professional certification	Evidence preparation/checking	Licensed or designated professional certification.
D — Fiduciary / capital action	Eligibility checks and package assembly	Authorized fiduciary/capital-provider/financial-institution approval.
E — Government / legal act	Completeness and authority checks	Authorized government officer, court, recorder, public body or legally authorized signatory.
F — Formal service / due process	Authenticated delivery and receipt evidence	Legal sufficiency determined by applicable law and required fallback method.

5. Fail-Closed Rules

- Conflict between authoritative identifiers, titleholders, jurisdictions, deed terms or signatory authority → BLOCK and reconcile.
- Missing or expired credential → BLOCK or route to cure; never infer authority from prior status.
- Model confidence below policy threshold → route to human review; do not convert probability into legal authority.
- Code/legal divergence → signed legal text and authoritative instrument control until a duly authorized amendment reconciles the machine policy.
- External system unavailable → preserve pending state and use authorized fallback rather than fabricating completion.

6. TitleChain and M5MST

Every material transition should create an M5MST receipt containing asset/entity ID, prior/new state, issuer/actor, authority basis, document/evidence references, policy version, approvals, timestamps, exception/override record and authoritative external record reference when applicable.

7. Public Commons / IP Boundary

M5Canon and ICSN public-commons standards may be published for research, interoperability, testing and independent review under the licenses stated in the applicable public repository. TitleChain implementation methods may also be protected by patents and other intellectual-property rights. Public standards publication does not by itself grant rights beyond the applicable repository or patent license terms.

8. Conformance Statement

Document control: human-controlled project draft assembled from project source material and reviewed under M5Canon document-control rules. No embedded generative media, comments, tracked changes, hidden prompts, content-control tags or authoring metadata are intended to be present.

This document is governed by the M5Canon authority hierarchy for PPT-EZ-CA-0001. An authoritative legal act, executed instrument, government record or legally authorized person or institution establishes the legal right or status. A Ricardian contract expresses the authorized right in human-readable and machine-readable form. Deterministic code may validate, constrain, route and enforce only authority already granted. Jev, language models and other probabilistic systems may classify, score, explain and route, but they do not create legal authority. TitleChain records provenance, state, restrictions, authority and receipts. If digital state conflicts with authoritative legal evidence, execution must halt and route to reconciliation and authorized human review.

Selected Authoritative References

- U.S. Patent 11,720,888 and U.S. Patent 12,518,273 — Decentralized title transfer and validation of assets.
- W3C Verifiable Credentials Data Model v2.0 — W3C Recommendation (May 15, 2025).
- California Commercial Code Division 12 — Controllable Electronic Records.
- California Secretary of State — UCC Financing Statement guidance and entity filing forms.
- National Park Service — Historic Surplus Property Program.
- SEC Release 34-106246 / File S7-2026-30 — proposed Transfer Agent Rules (proposal as of September 2026).